IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT – II)

Item No. 204
CP(CAA)-77/ND/2025 in CA(CAA)-100/ND/2024

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONGST

Alfa Flexitubes Private Limited ... **Petitioner No.1/ Demerged Company**

AND

Alfa Autotech Private Limited ... **Petitioner No.2/ Resulting Company**

Under Section: 230-232 of Companies Act, 2013

Order delivered on 10.03.2026

CORAM:
SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)
MS. REENA SINHA PURI, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner	**:**	Adv. Arun Saxena and Adv. Shanu Pastore
For the Respondent	**:**	
For the Income Tax Department	**:**	Sakshi Shairwal JSC for Vipul Agrawal SSC and Akshat Singh

Hearing Through: VC and Physical (Hybrid) Mode

ORAL ORDER

The prayer made in this caption application reads thus:-

i. That the said Scheme of Demerger referred to in an Annexure-A7 of this petition hereto, be sanctioned by this Hon'ble Tribunal so as to be binding on all the equity shareholders and secured / unsecured creditors of the Petitioner Companies;

ii. Pass orders/directions for publication of Notice of the hearing as required under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in Business Standard (Hindi & English Edition);

iii. Direct service of notice to Central Government through Regional Director, Official Liquidator, Registrar of Companies, Income Tax Authorities, or such authorities as the Tribunal may deem fit, to make their respective representations, if any, to this Hon'ble Tribunal, under provisions of Section 230 (5) Companies Act, 2013 and further direct them to serve a copy of their representation on the Petitioner Companies' Advocate;

2. As can be seen from order dated 15.07.2025 passed in CA(CAA)-100/ND/2024, we had dispensed with the meeting of Unsecured Creditors and the Equity Shareholders qua the Resultant Company. Similarly we had also dispensed with the meeting of Equity Shareholders qua the Demerging Company. As far as Secured and Unsecured Creditors for Demerging Company are concerned we had appointed Ms. Rashmi Chopra, Ld. Sr. Advocate/Arbitrator as Chairperson to hold the meeting. Mr. Jitendra Arora, Company Secretary was appointed as a scrutinizer. The relevant excerpt of the order passed in first motion application reads thus:-

> *"10. In the wake of the aforementioned, we deem it appropriate to dispense with the meeting of Unsecured Creditors and Equity Shareholders qua the Resultant Company. As far as the Demerging Company is concerned, the meeting of the Equity Shareholders is dispensed with. As far as Secured and Unsecured Creditors qua the Demerging Company are concerned, we appoint Mrs. Rashmi Chopra, Sr. Advocate/Arbitrator (Mob. No. 9810311218), as Chairperson to hold the meeting. Mr. Jitendra Arora, Company Secretary (Mob. No.9811505059) who is present in court, is appointed as scrutinizer qua the meeting. The fee of the chairperson would be Rs. 75,000/- plus expenses and that of the scrutinizer would be Rs. 45,000/-.*
>
> *11. The chairperson would issue the notice for the meeting of the Secured and Unsecured Creditors qua the Demerge Company, by issuing notice of 21 days. The meeting of the Secured and Unsecured Creditors qua the Demerging Company would be held virtually. It goes without saying that the chairperson and scrutinizer would ensure that the provision contained in the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, regarding holding of the meeting of Secured and Unsecured Creditors is followed.*

12. The issuance of the notice to regulators referred to in Section 230(5) of the Companies Act, 2013 would be considered at the time of filing of 2nd Motion Petition.

13. The Applicant Companies would bear the expenses regarding service of notice/adherence to the process to be followed by the chairperson and scrutinizer in terms of the provisions of the Amalgamation Rules, including the publication of notice in terms of the provisions of Section 230(3) of the Companies Act, 2013. The publication may be made in two leading newspapers i.e. Business Standard (Hindi & English) in circulation in the area where the registered office of both the Demerging and Resultant Companies are located. The application stands disposed of."

3. It is seen from the report of the Chairperson Report appointed in terms of the aforementioned order, the stakeholders have approved the scheme in respect of whom the meeting was ordered to approve the scheme with 100% vote shares. The report of the Chairperson is on record as Annexure A-13 from page 259 to 297 and we verified the same.

4. In terms of the order dated 07.10.2025, we have directed that the notice to be served upon the Regulators viz. Income Tax Department and Regional Director. In response to the notice, the Deputy Regional Director entered appearance and submitted that he has no objection to the approval of the scheme. Similar, Ms. Sakshi Shairwal, Ld. Counsel for the Income Tax Department submitted that the department has no objection to the approval of the scheme, subject to the condition that the outstanding amount of Income Tax Department is paid by the Applicants. As both the Demerging Company and the Resultant Company would remain in existence, no report is required from Official Liquidator. On 20.01.2026, we passed the following order,

recording the stand of the Income Tax Department as also the Assistant Regional Director:-

> *"Mr. Vijay Singh Choudhary, Assistant Director represented the Regional Director and submitted that the Regional Director had raised certain observations regarding the demerger scheme, but on receiving of the explanation/reply from the Applicants, he has not further observation and objection to the approval of the scheme of demerger.*
>
> *Mr. Kartik Asthana, Ld. Counsel for Official Liquidator submitted that since the present scheme does not involve amalgamation and is scheme of demerger only, the Official Liquidator has not objection thereto.*
>
> *Nevertheless, Ld. Counsel for Income Tax Department submitted that one of the Applicants has outstanding liability to pay Income Tax Department Rs. 51,00,000/- and she need to file her report regarding the scheme of demerger. As prayed by her, 2 weeks' time is granted for filing the report. List on 10.03.2026.*
>
> *Before parting, we observed that the number assigned to a present petition is CP(CAA)-77/ND/2025 and same is the number assigned to another matter viz. as one Identity Solutions Operating Company Pvt. Ltd. and IDEMIA Identity and Security India Pvt. Ltd. viz. Smart Chip Pvt. Ltd, viz. IPS Pvt. Ltd. The Court Officer may verify the position and see that how same number could be assigned to two different cases."*

5. As none of the regulators have any objection to the approval of the scheme and the procedural requirement was met in the first motion, we order approval of the scheme in issue subject to the following conditions:-

i. The Demerging Company will pay the outstanding amount of the Income Tax within 10 days from today. The approval of the scheme in terms of the present order would not absolve either of the Applicants from their

liability to pay Income Tax as they are liable to pay dehors the Demerger/Merger.

ii. Both the companies would be bound by Section 6 of the Companies Act, 2013.

iii. The approval of the scheme would not absolve either of the Applicants from taking such approval as they are otherwise required to take in operation of their business from the concerned authorities.

6. The sanctioned Scheme of Arrangement/Demerger shall be binding on the Demerged Company and Resulting Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

7. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

8. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance

with the provisions of Income Tax Act, 1961 and the rules and regulations made thereunder.

9. As a sequel of the approval of the scheme we issue following directions:-

(i) The scheme shall be effective from the appointed date as per Scheme i.e. 01.04.2024, the date on which the certified copies of the orders of the Tribunal sanctioning this Scheme will be last filed by the Demerged Company and/or the Resulting Company with the RoC.

(ii) On scheme being effective the Demerged Company will be transferred to the Resulting Company.

(iii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Demerged Company is entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Resulting Company as if the Resulting Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iv) All contracts of the Demerged Company which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Resulting Company and be in full force and effect in favor of the Resulting Company and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or obliged thereto;

(v) All the employees of the Demerged Company shall be deemed to have become the employees and the staff of the Resulting Company with effect from the Appointed Date, and shall stand transferred to the Resulting Company without any interruption of service and on the terms and conditions no less favorable than those on which they are

engaged by the Demerged Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(vi) All liabilities of the Demerged Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Resulting Company and shall be exercised by or against the Resulting Company, as if it had incurred such liabilities.

(vii) All proceedings now pending by or against the Demerged Company be continued by or against the Resulting Company.

(viii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Demerged Company and the Resulting Company, in respect of the assets sought to be transferred under the proposed scheme.

(ix) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

10. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to the Resulting Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered the Demerged Company shall be transferred to the Resulting Company. The Registrar of Company shall place all documents relating to the Demerged Company on the file kept by him in

relation to the Resulting Company and the files relating to both the Petitioner Companies shall be consolidated accordingly.

11. The CP(CAA)-77/ND/2025 stands disposed of accordingly.

Sd/-
(REENA SINHA PURI)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)

Abhijat/Ruchita